

reflects the realities of the proposed investment. We suggest the following standards, in so far as it may be feasible to apply them:

1. *Depreciation on Tangible Assets.* This should always be taken at the well-established rates, applied to cost—or to a figure substantially less than cost only if the facts clearly justify the write-down.

2. *Intangible Drilling Costs.* We believe that capitalizing these costs, and then writing them off as oil is produced—although less “conservative”—is the preferable basis both for comparative purposes and to supply a fair reflection of current earnings. In comparing companies that use one and the other method, the analyst must make the best allowance he can for the understatement of earnings by the companies that charge off 100% the first year.

Example: The difficulty of making this adjustment in practice may be shown by comparing the 1938 reports of Continental Oil Company and Ohio Oil Company. These two concerns are roughly similar in their set-up. Both produced about 20 million barrels in 1938; Continental Oil refined about two-thirds, and Ohio Oil about one-third its output. Continental charges all its intangible drilling costs direct to income, while Ohio capitalizes these costs and writes them off over the life of the wells.

It might be expected that the total amortization charges of Continental, including drilling expense on the 100% basis, would be relatively higher than those of Ohio. Yet in 1938 Ohio charged off \$11,602,000, or 21½% of its \$54 million sales; while Continental charged off \$14,038,000, or 17.6% of its \$80 million gross. Apparently no adjustment would be needed by the analyst to equalize the two accounting methods. The reasons may be found in several circumstances; *e.g.*, (a) after a number of years the gradual write-off method approximates the 100% method, since amortization of old drilling expense becomes continuously greater. (b) In the case of Continental, this concern wrote down its property account in 1932 by some \$45,000,000 and thus reduced its normal depreciation and depletion charges considerably in succeeding years.

3. *Property Retirement and Abandoned Leases.* We think that loss on property retired (in excess of depreciation already accrued) should be charged against the year's earnings, rather than against surplus as is done by most companies in other fields. The reason is that property retirements are likely to be a normal and recurrent factor in the business of a